

If you were a horrible driver and got into another \$1,000 accident two weeks later, you would not need to pay the \$500 deductible again. Your premium, however, would likely go up because it would become more and more expensive for your insurance company to continue paying for the results of your reckless driving habits. Your premium and your deductible are usually inversely related, meaning that if you have a high premium, you will likely have a lower deductible; if you have a low premium, you will likely have a higher deductible.

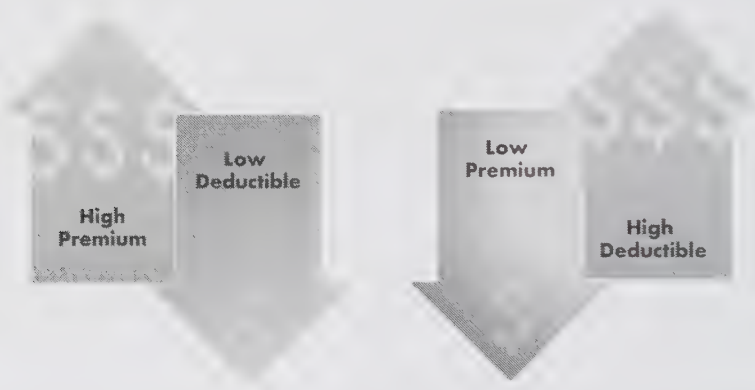


Figure 10.1. Relationship between premiums and deductibles

An insurance policy generally lasts for one year, so don't think that once you have met your deductible you are covered for life; when you renew or get a new policy, your deductible will start over again. Sadly, your monthly premium does not count toward your deductible.

When you choose your plan, you need to choose one that best fits your needs. Let's look at health insurance again as an example. If you are someone who has health conditions or will need medical services frequently, it is probably best to pay a